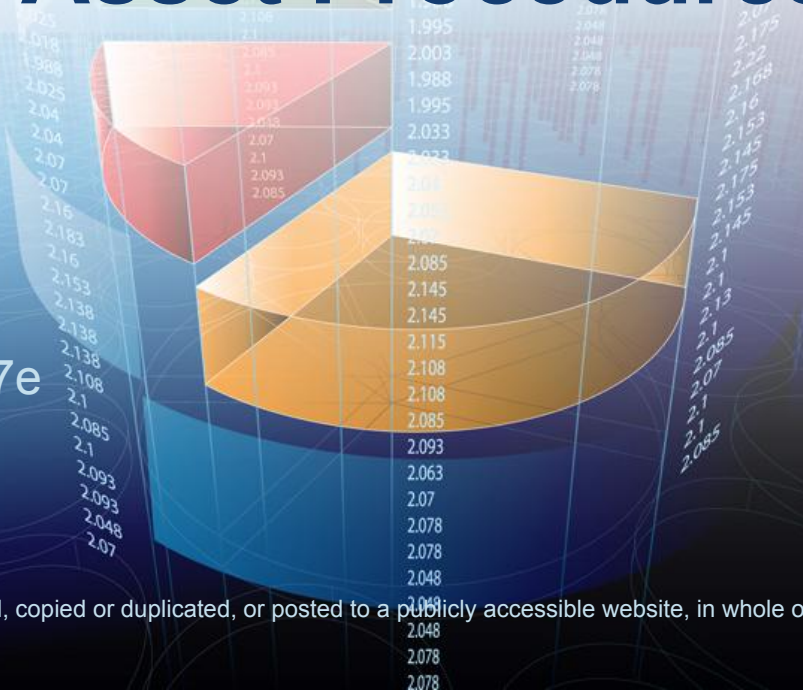
Chapter 6

The Expenditure Cycle
Part II: Payroll Processing and Fixed Asset Procedures



Accounting Information Systems, 7e
James A. Hall

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Objectives for Chapter 6

- Fundamental tasks of payroll and fixed asset processes
- Functional depts. of payroll and fixed asset activities and the flow of transactions through the organization
- Documents, journals, and accounts needed for audit trails, record maintenance, decision making, and financial reporting
- Exposures associated with payroll and fixed asset activities and the controls that reduce these risks
- Operational features and the control implications of technology used in payroll and fixed asset systems

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

DFD of Payroll Procedures

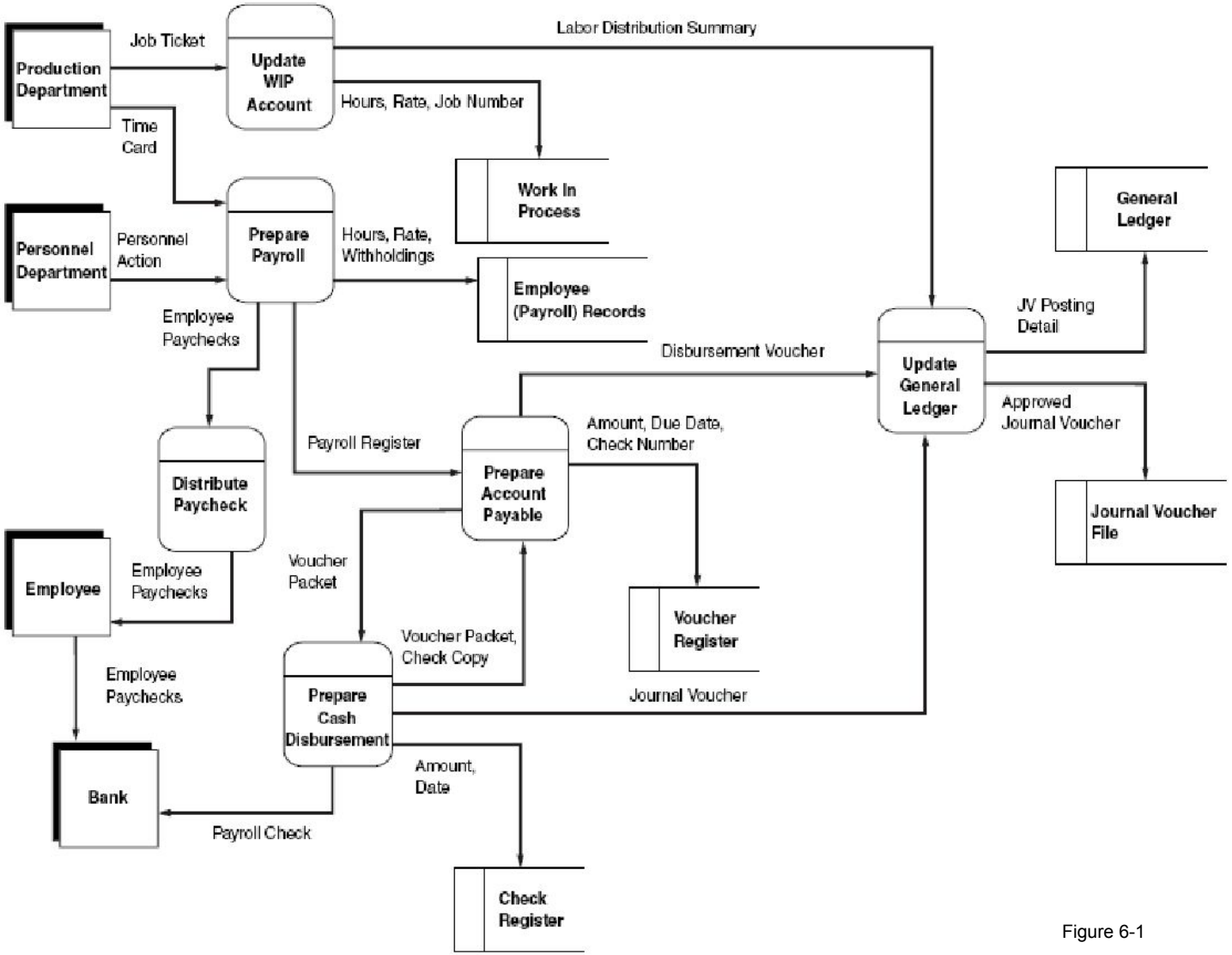


Figure 6-1

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- Personnel dept. uses **personnel action forms** to:
  - activate new employees
  - change the pay rate of employees
  - change marital status and/or number of dependents
  - terminate employees

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- Production employees fill out two forms:
  - **job tickets** - account for the time spent by the worker on each production job
  - **time cards** - used to capture the total time worked each pay period for payroll calculations
    - must be signed by a supervisor

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- Cost Accounting dept:
  - uses the job tickets to allocate labor costs to **WIP accounts**
  - summarizes these charges in a **labor distribution summary** which is forwarded to G/L dept.

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- Payroll dept receives personnel action forms and time cards.
- Uses them to:
  - prepare the **payroll register**
  - enter the information into the **employee payroll records**
  - prepare **paychecks**
  - send paychecks to Cash Disbursements and a copy of the payroll register to Accounts Payable

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- Accounts Payable dept:
  - prepares a **cash disbursements voucher** for the total amount of the payroll
  - sends copies to the Cash Disbursements and G/L depts.

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- Cash Disbursements dept:
  - reviews and signs the paychecks and forwards them to a **paymaster** for distribution to the employees
  - writes a check for the payroll and deposits it into the **payroll imprest account**

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

- G/L dept. makes the following journal entries:
  - From the Labor Distribution Summary

WIP (Direct Labor)	***DR***	
Factory Overhead (Indirect Labor)		***DR***
Wages Payable		***CR***

  - From the Distribution Voucher

Wages Payable	***DR***		
Cash	***CR***		
Fed. Inc. Tax Withholding Payable			***CR***
State Inc. Tax Withholding Payable		***CR***	
FICA Withholding Payable		***CR***	
Other Withholding Payables		***CR***	

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll System

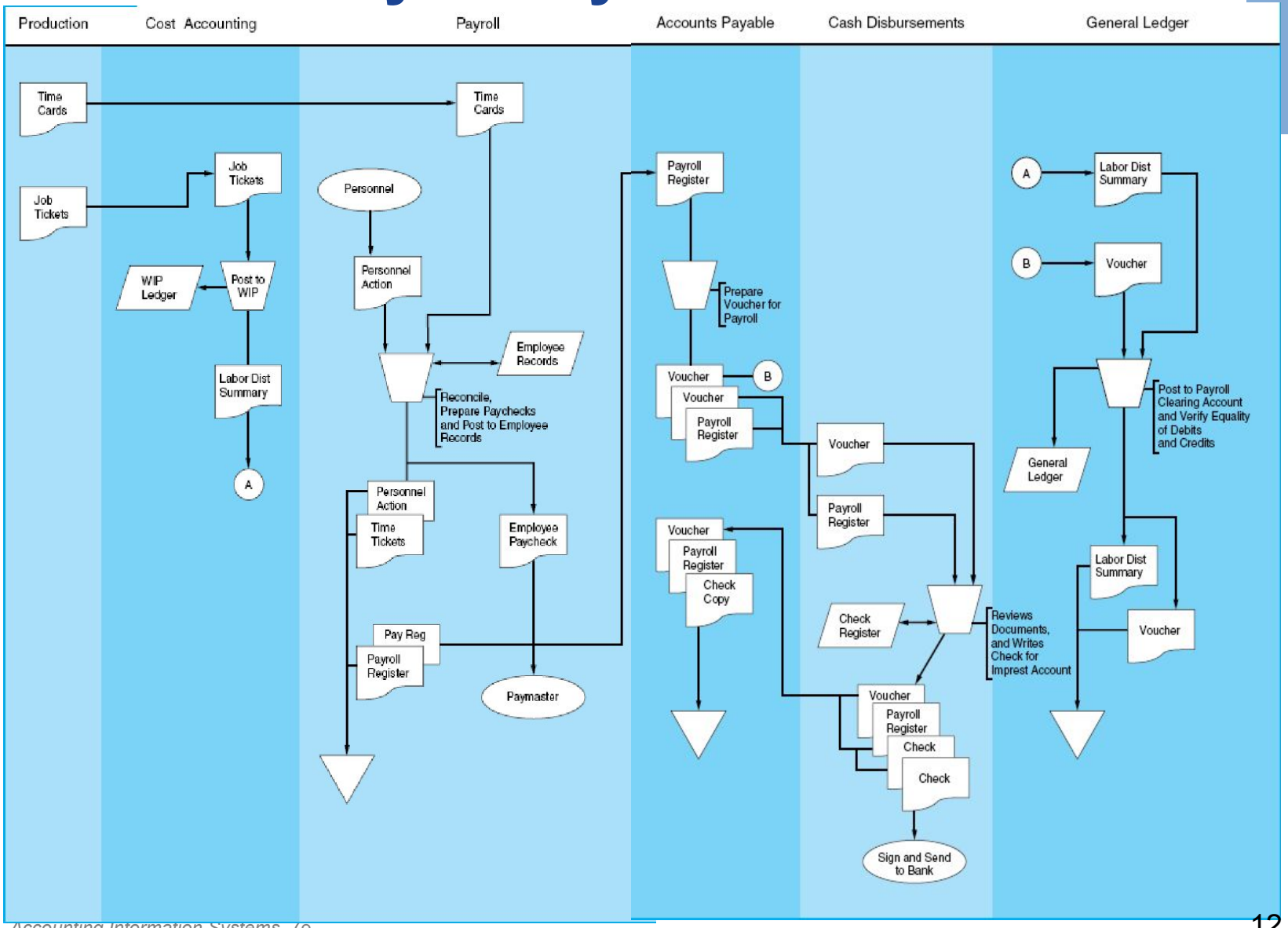
- G/L dept. makes a journal entry to transfer the cash from the operating bank account to the payroll imprest account:

Cash - Payroll Imprest Account DR

Cash - Operating Account CR

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Manual Payroll System



©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll Controls

- **Transaction authorization** - the personnel action form helps prevent:
  - terminated employees from receiving checks
  - wage rates from being improperly changed for current employees

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll Controls

- **Segregation of Duties** - timekeeping and personnel functions should be separated
- **Supervision** - need to monitor employees to ensure they are not "clocking in" for one another

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll Controls

- **Accounting Records** - audit trail includes:
  - time cards
  - job tickets
  - disbursement vouchers
  - labor distribution summary
  - payroll register
  - subsidiary ledger accounts
  - general ledger accounts

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll Controls

- **Access Controls** - need to prevent employees from having improper access to:
  - accounting records, such as time cards which can be altered
  - unsigned checks

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Payroll Controls

- **Independent Verification:**
  - verification of time cards
  - distribution of paychecks to authorized employees
  - verification of accuracy of payroll register by A/P dept.
  - G/L dept. reconciles the labor distribution summary and the payroll disbursement voucher

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Computer-Based Payroll Systems

- Payroll is well-suited to batch processing and sequential files.
  - Most employees on the master file receive paychecks periodically.
- The computer program performs the detailed record-keeping, check-writing, and general ledger functions.

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Reengineered HRM Systems

- Payroll can be reengineered as a part of human resource management (HRM).
- IT can process a wide range of personnel-related data, including:
  - employee benefits
  - labor resource planning
  - employee skills and training
  - pay rates, deductions, and pay checks
  - evaluations

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Key Features of Reengineered HRM

- **Personnel** - can make changes to the employee file in real time
- **Cost Accounting** - enters job cost data either daily or in real time
- **Timekeeping** - enters the attendance file daily
- **Data Processing** - still uses batch processing and prepares all reports, the checks, and updates the general ledger

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Reengineered HRM Systems…

differ from automated manual and batch/sequential file systems because:

- operations depts. transmit transactions to data processing via terminals
- direct access files are used for storage
- many processes are performed real time
- real-time access to personnel files required for direct inquiries

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Batch Payroll System

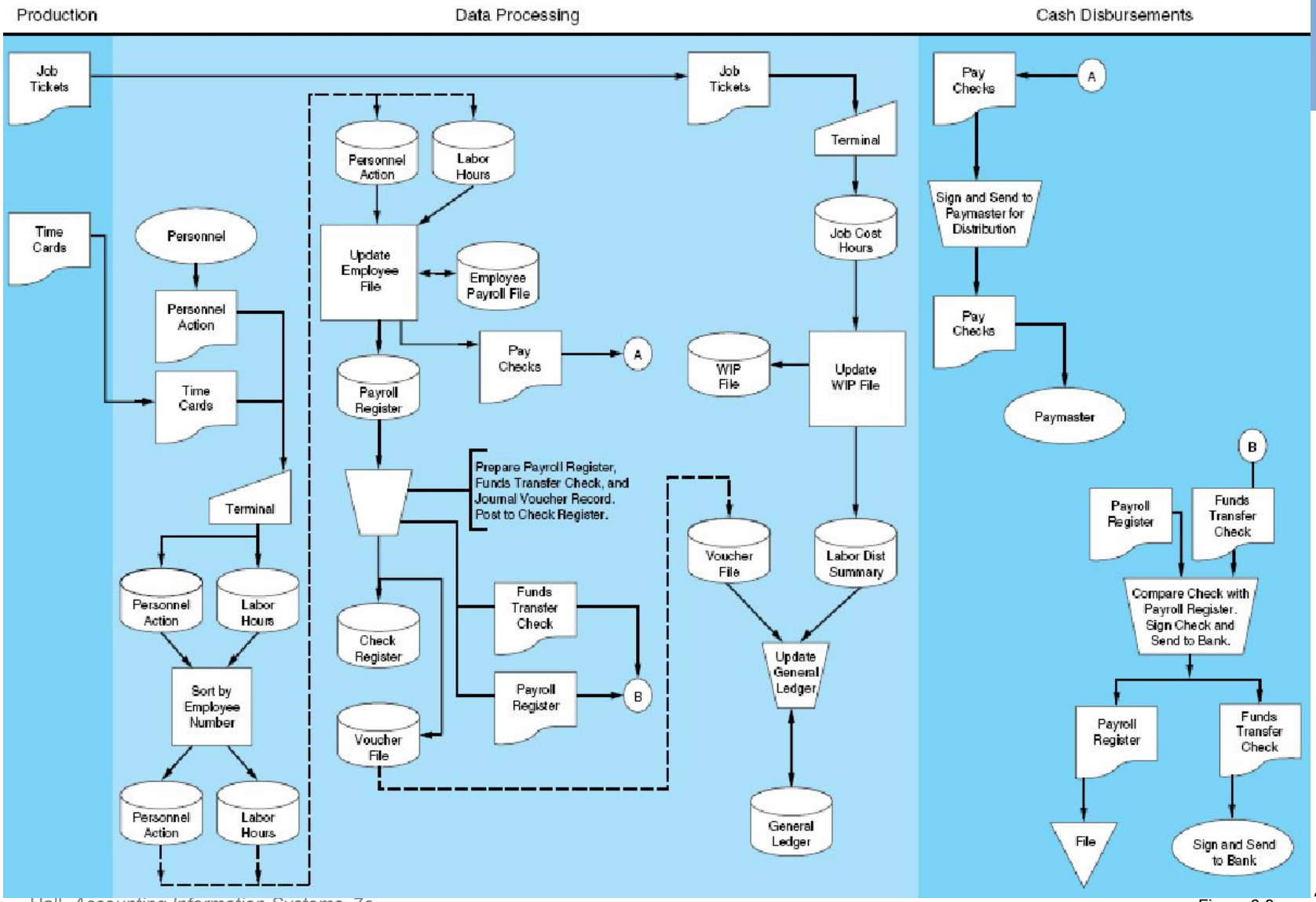


Figure 6-9

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Procedures Payroll System with Real-Time Elements

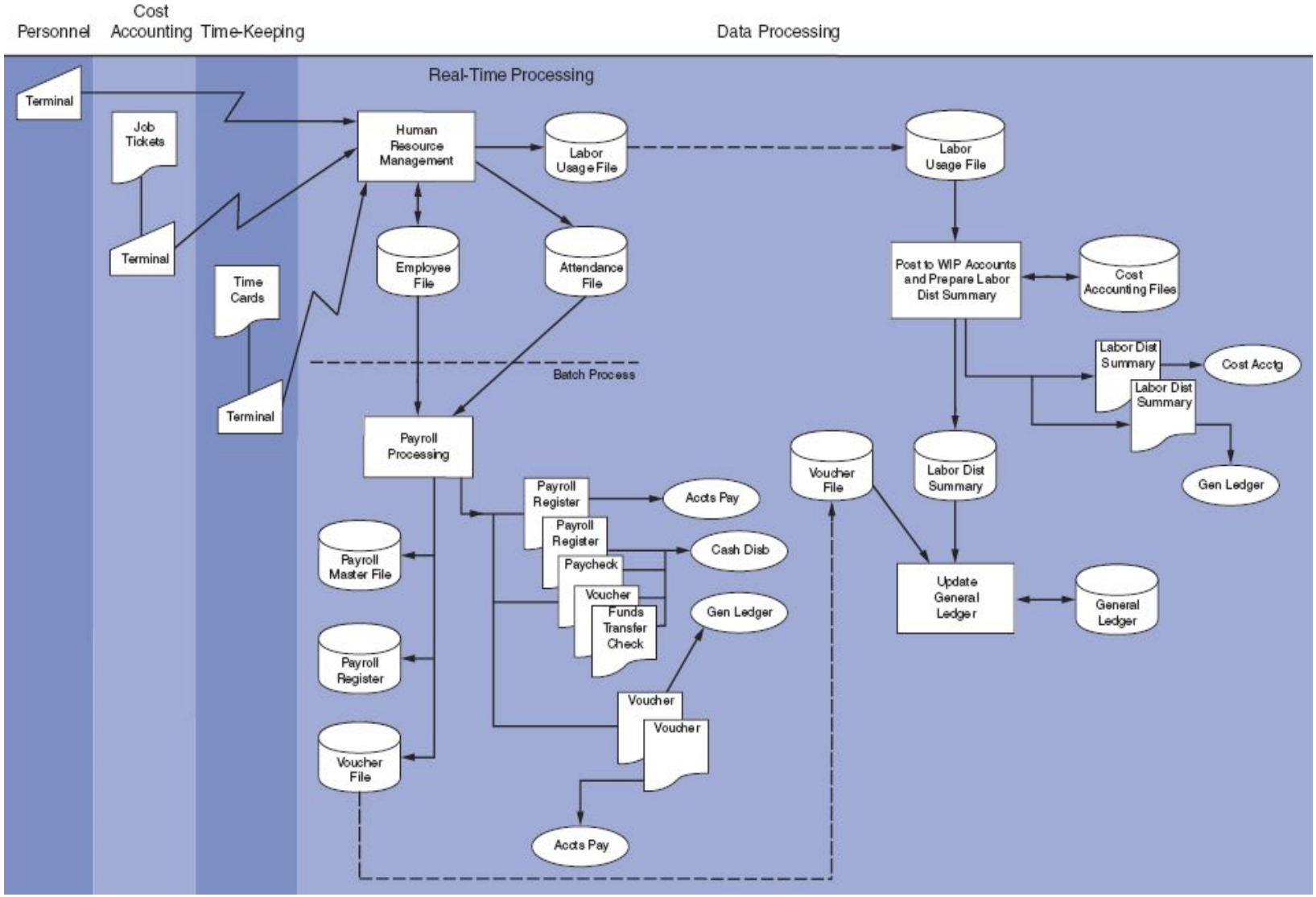


Figure 6-10

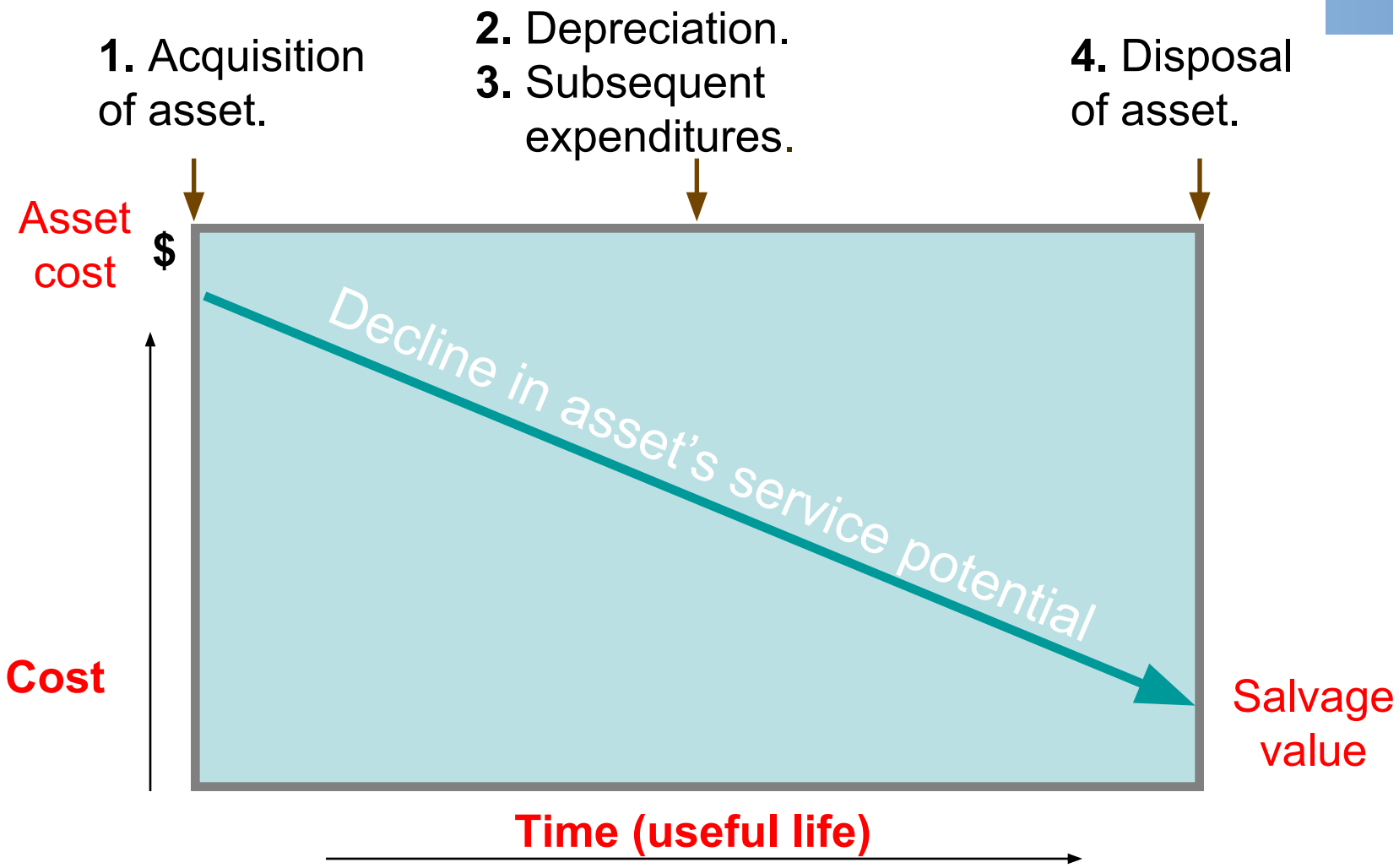
©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

The Fixed Asset System (FAS)

- **Fixed Assets** - property, plant, and equipment used in the operation of a business

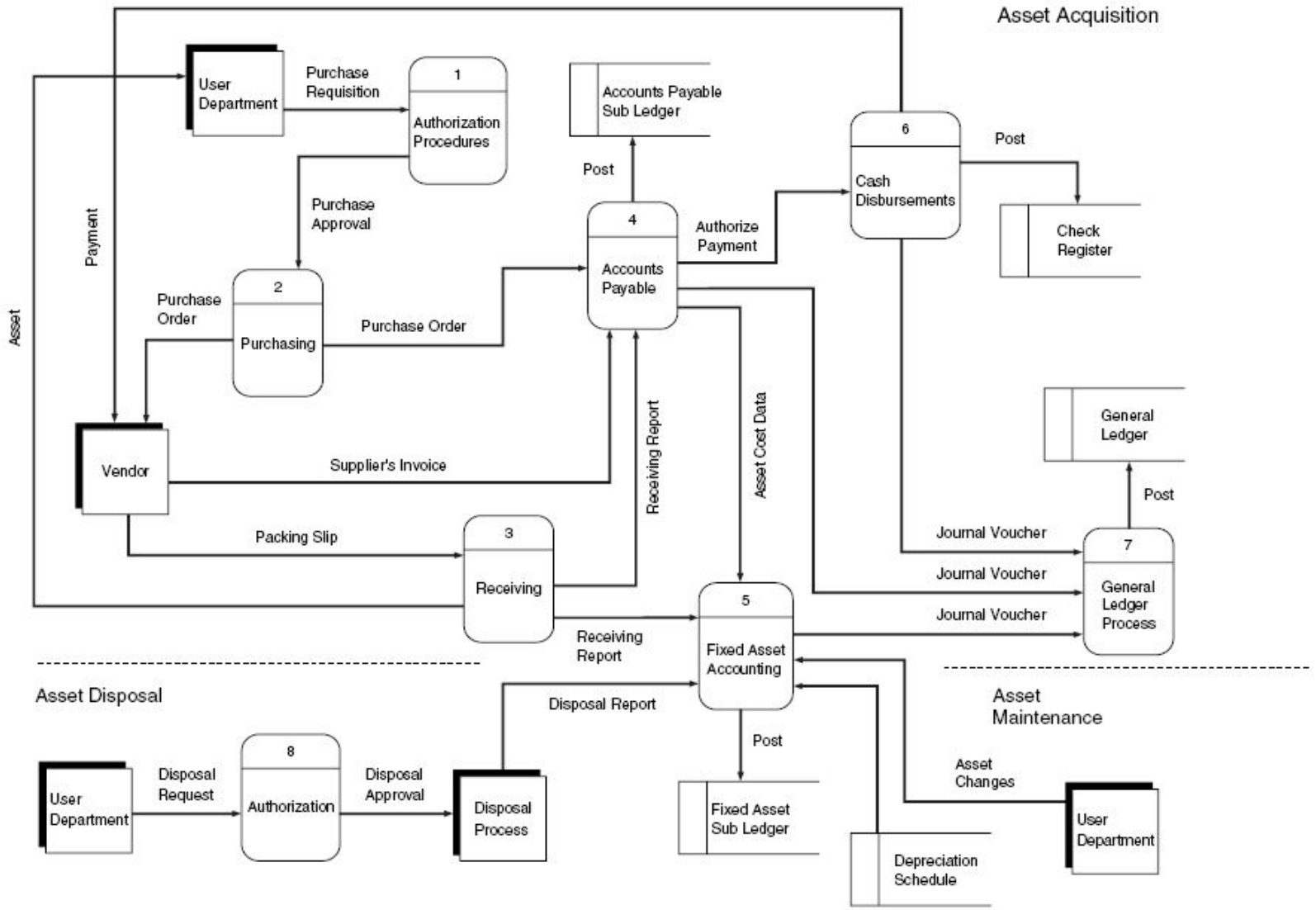
©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Life of a Fixed Asset



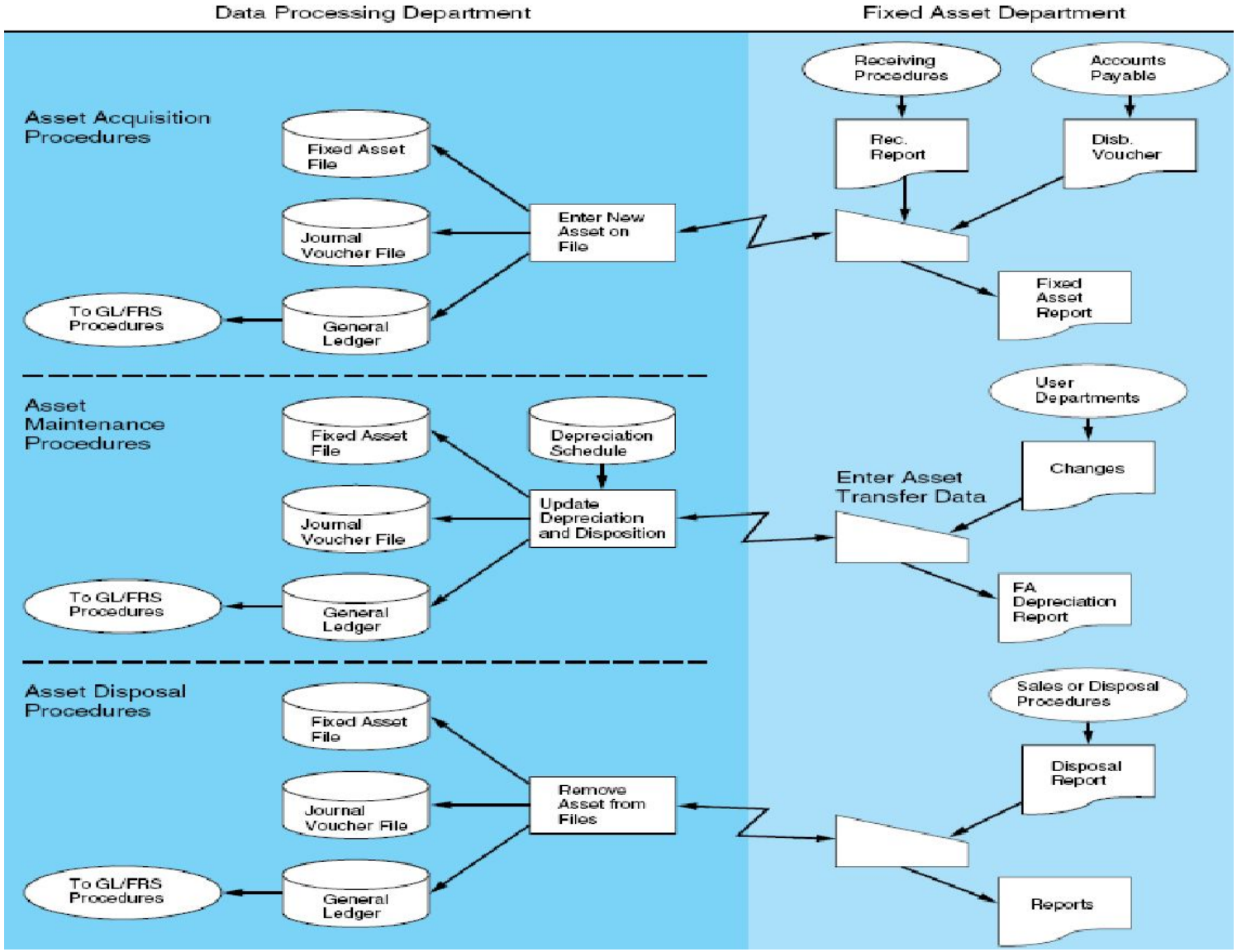
©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

DFD of Fixed Asset System



©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Computer-Based FAS Flowchart



©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Objectives of FAS

- Acquire fixed assets in accordance with management approval and procedures
- Maintain adequate accounting records of asset acquisition, cost, description, and location
- Maintain depreciation records for depreciable assets in accordance with acceptable method
- Provide management with information to help it plan future fixed asset investments
- Properly record the retirement and disposal of fixed assets

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Asset Acquisition

- Begins when a dept. manager determines that an old fixed asset needs to be replaced or that a new fixed asset is warranted
- A purchase requisition is filled out.
  - May require an authorizing signature for items over a pre-specified limit
- FAS dept. performs record-keeping functions.

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Asset Maintenance

- Involves adjusting FAS subsidiary account balances as assets depreciate
- Depreciation calculations are internal transactions that the FAS system bases upon a depreciation schedule.
- Physical improvements must also be recorded to increase the subsidiary account balance and depreciation schedule.

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Asset Disposal

- At the end of an asset's useful life (or earlier disposition), the asset must be removed from the records and depreciation schedule
- Disposals require disposal request forms and disposal reports as source documents.

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Computer-Based Fixed Asset System—Acquisition

- Receipt of assets are digitally recorded in the system, along with information such as its useful life, depreciation methods, etc.
- Ledgers are automatically updated

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Computer-Based Fixed Asset System—Maintenance

- Computerized FAS automatically:
  - calculate current period's depreciation
  - update accumulated depreciation and book-value fields in the subsidiary records
  - post total depreciation to the affected general ledger accounts
  - record depreciation transactions by adding records to the journal voucher file

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

Computer-Based Fixed Asset System—Disposal

- Computerized FAS automatically:
  - post adjusting entries to the fixed asset control account in the general ledger
  - record losses or gains associated with the disposal transaction
  - prepare journal voucher records

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

FAS Controls

- **Authorization** - should be formal and explicit because of high cost of FAS:
  - acquisitions
  - changes in depreciation methods
- **Supervision** - threat of misappropriation requires constant management oversight:
  - theft - secure physical locations of assets
  - misuse - monitor on-the-job activities

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

FAS Controls

- **Independent Verification** - internal auditors should periodically verify FAS records:
  - the reasonableness of factors used in decisions (useful life, discounts, budgeting model)
  - location, condition, and fair value of the fixed asset records in the subsidiary ledger
  - the programming logic for automatic calculations (depreciation)

©2011 Cengage Learning. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.